

Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

6 Decades

Moore's Law

Compute horsepower to process exaflops
of data

4 Decades

The Internet

Trillions of tokens of training data
(accelerated by COVID)

2 Decades

Mobile & Cloud

A supercomputer in every human's palm

→ ChatGPT's launch ignited a Cambrian explosion of innovation — the fastest-growing application in history

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1 Billion

in revenue from generative AI startups alone — a milestone SaaS took years, not months, to reach

ChatGPT

OpenAI

Fastest-growing application in history
Strong PMF with students & developers

Midjourney

Midjourney

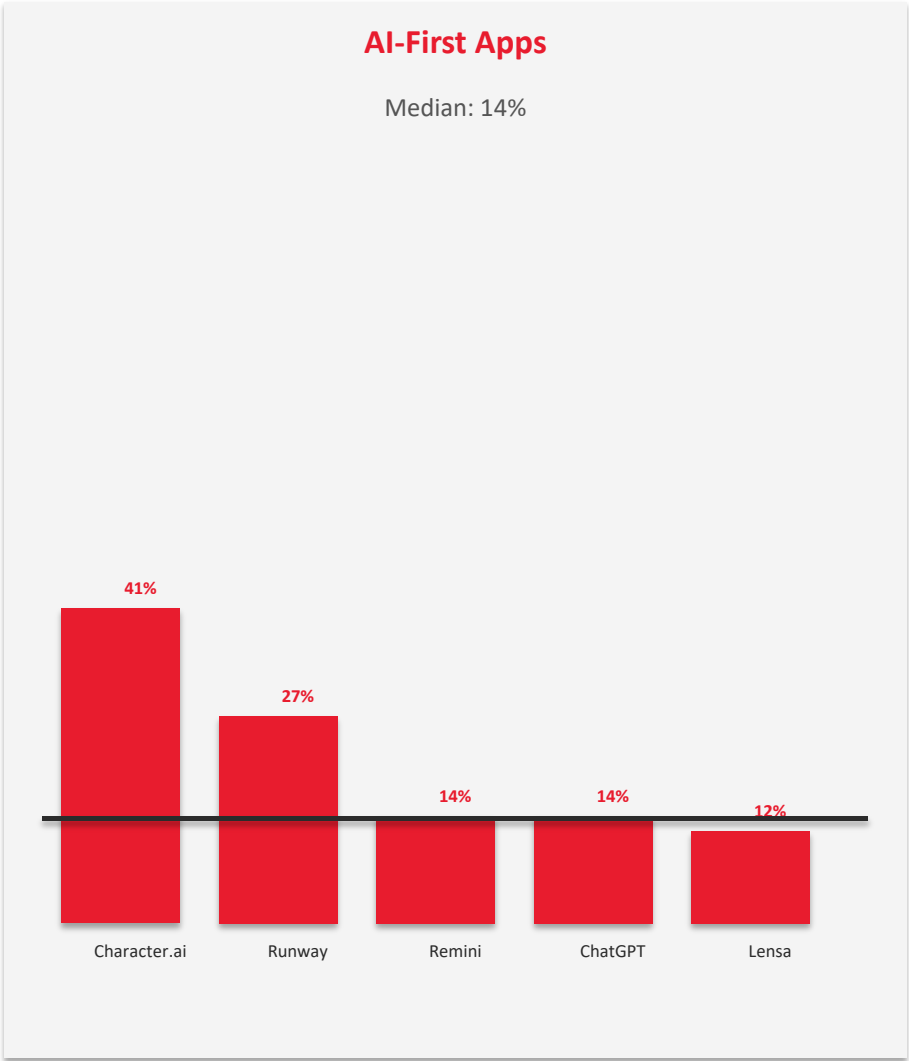
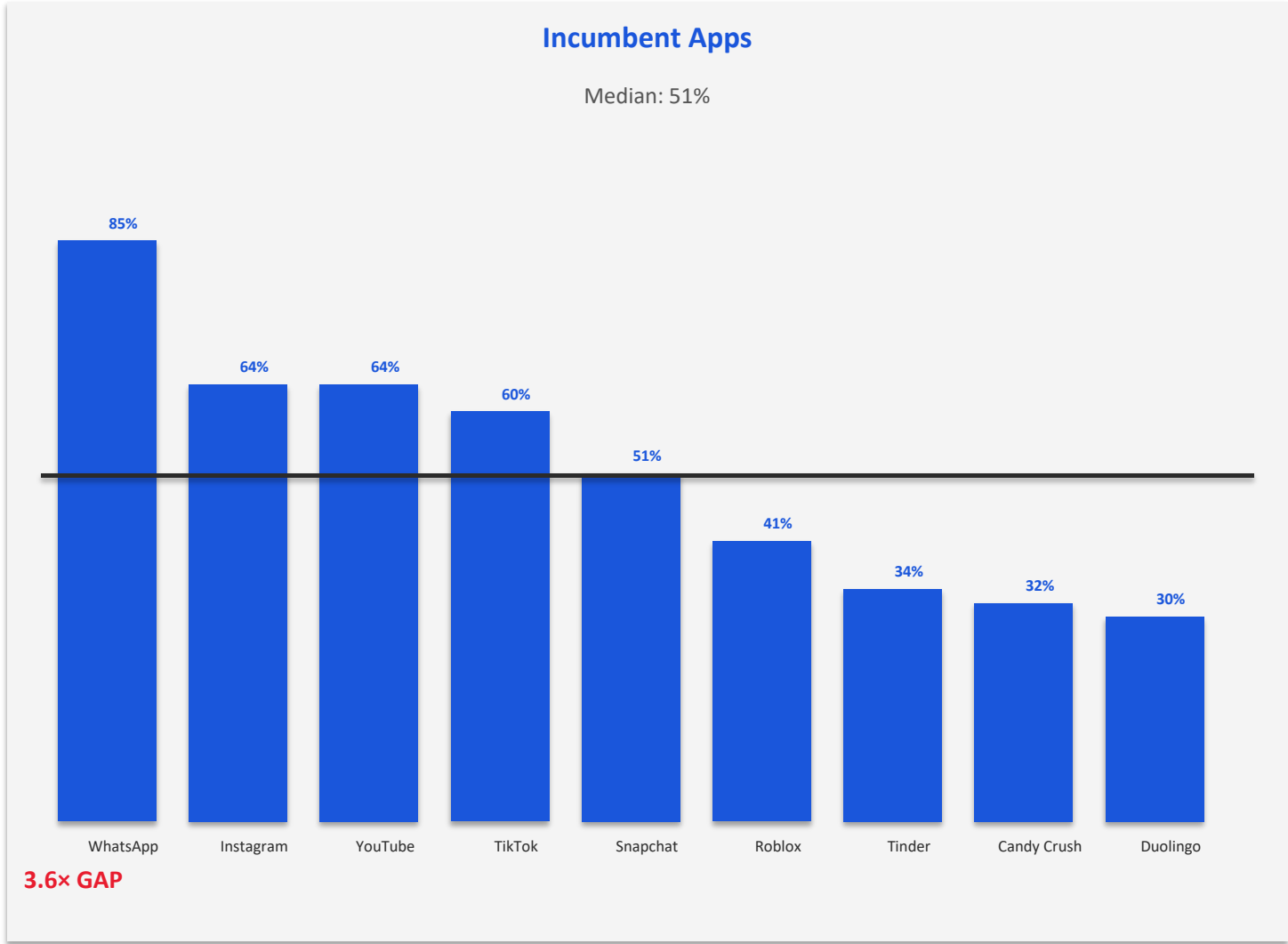
Hundreds of millions in revenue
Team of just 11 people

Character.ai

Character Technologies

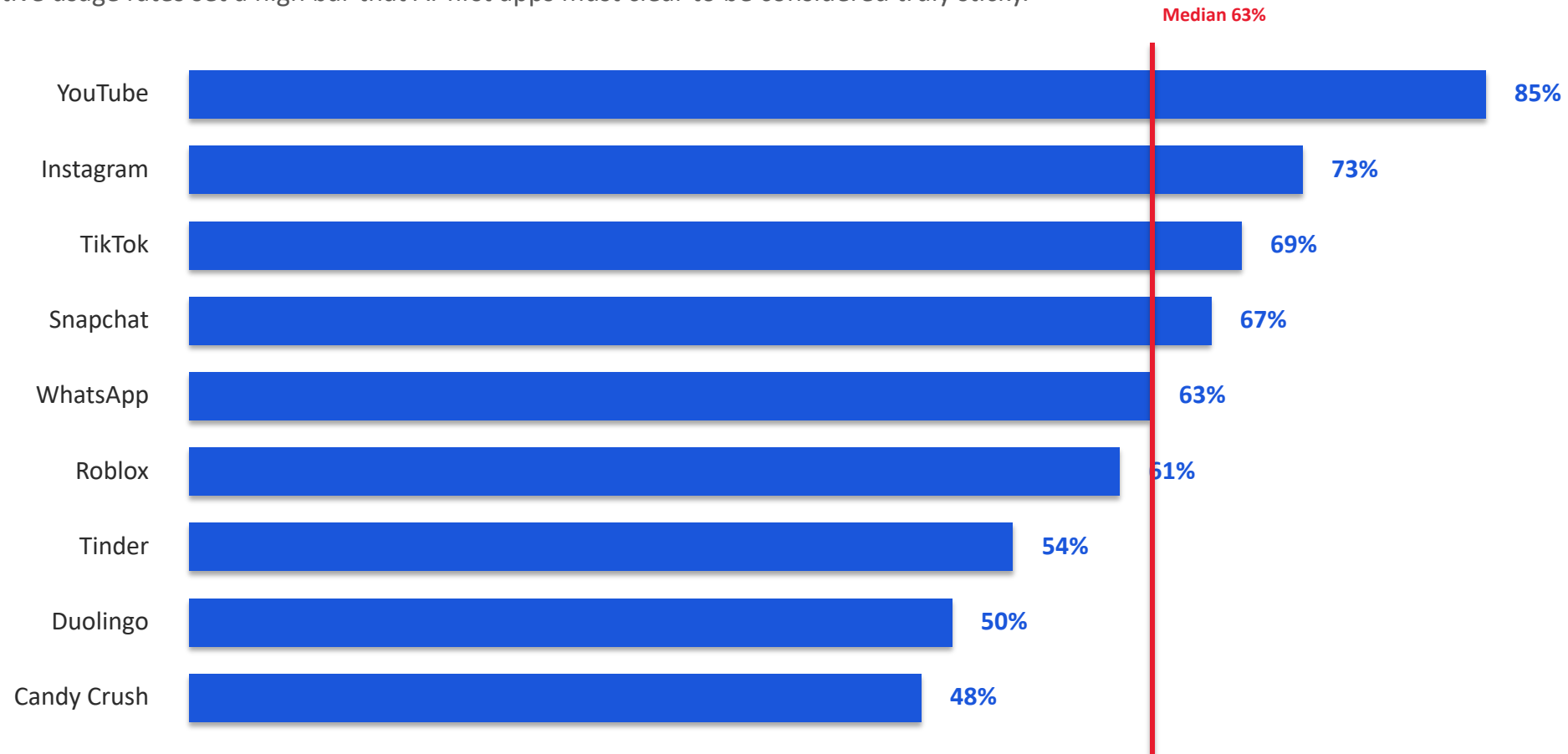
Popularized AI companionship
2 hours average session time

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly active usage rates set a high bar that AI-first apps must clear to be considered truly sticky.



Context: AI-first apps have a 14% median retention vs. a 63% monthly active usage benchmark for incumbents — a formidable bar to clear for the next generation of consumer AI products.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 — Technology-Out

- X Foundation model IS the entire product
- X Novelty demos & lightweight wrappers
- X Single-modal: text, image, or code only
- X Poor retention — users churn quickly
- X Technology-first, problem-second logic
- X "AI Salesforce" / "AI Adobe" clones
- X No sustainable moat or differentiation

ACT 2 — Customer-Back

- ✓ Foundation model as a COMPONENT, not the whole
- ✓ New editing interfaces — stickier workflows
- ✓ Multi-modal by design
- ✓ End-to-end problem solving
- ✓ Customer workflow & pain point drives design
- ✓ Harvey (legal AI), Glean (enterprise search)
- ✓ Character & Ava (AI companionship)

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia GenAI market map has been reorganized from model modality → use case, reflecting the increasingly multi-modal nature of Act 2 applications.

ACT 1 MAP — Organized by Modality

Text models · Image models · Code models · Audio models

Narrow, single-modality products
Limited stickiness



ACT 2 MAP — Organized by Use Case

Legal · Enterprise Search · Companionship · Creative

Multi-modal, workflow-integrated
End-to-end problem solving

Harvey

Legal AI

Custom LLMs for elite law firms;
workflow-embedded, not a chatbot
wrapper

Glean

Enterprise Search

Crawls & indexes entire workspaces; AI
as infrastructure

Character

Companionship

41% retention — AI-first outlier proving
use-case depth matters

Ava

Companionship

Digital companion; multi-modal and
relationship-oriented by design

Key Takeaways: What Separates Winners in Act Two

01 Retention Is the Critical Challenge

AI-first apps show a 14% median retention vs. 51% for incumbent consumer apps — a 3.6× disadvantage that defines the current competitive gap.

02 Foundation Models Are a Component, Not a Product

Winning Act 2 companies use foundation models as one piece of a comprehensive solution, not as the entire product.

03 Multi-Modal, Workflow-Integrated Solutions Win

New editing interfaces and end-to-end workflows create the stickiness that thin wrappers cannot.

04 \$1B+ Revenue Proves Real Demand Exists

GenAI surpassed \$1B in startup revenue faster than SaaS — real commercial demand underlies the hype cycle.

05 End-to-End Human Problem Solving Defines Act 2

Companies that solve whole problems — Harvey in legal, Glean in enterprise search, Character in companionship — will define the next era.